IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

CA(CAA)NO.13/BB/18
Under Section 230 to 232 of Companies Act, 2013

IN THE MATTER OF SCHEME OF AMALGAMATION
IN THE MATTER OF
INTEL MOBILE COMMUNICATIONS INDIA PRIVATE LIMITED
WITH
INTEL TECHNOLOGY INDIA PRIVATE LIMITED

Order delivered on: 13th April, 2018

Coram: Hon'ble Shri Ratakonda Murali, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

For the Petitioner (s): Mr. C V Madhusudhanan, Practising Company Secretary
Indus Chambers No. 101, Govt Arts College Road
Coimbatore - 641018

Per: **Hon'ble Shri Ashok Kumar Mishra, Member** (Technical)

Heard on: 20.03.2018, 02.04.2018.

INTEL MOBILE COMMUNICATIONS INDIA PRIVATE LIMITED
23-56P, Devarabeesanahalli, Varthur Hobli
Outer Ring Road, Bengaluru-560103

ORDER

This Application is filed on behalf of the Applicant Company under Section 230 to 232 of Companies Act, 2013 read with Rule 3 Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, praying to dispense with convening of meeting of Equity Shareholders and Unsecured Creditors of the Applicant Company/Transferor Company for considering the scheme of Amalgamation, where under Intel Mobile Communications India Private Limited (Applicant/Transferor Company) is proposed to be merged with Intel Technology India Private Limited (Transferee Company). The Scheme of Amalgamation is shown as **Annexure-B**.

The averments made in the Company Application are briefly described hereunder:-

The Applicant/Transferor Company seeks an order to dispense with convening of meeting of Equity Shareholders and Unsecured Creditors of the Applicant Company/Transferor Company for considering the scheme of Amalgamation where under Intel Mobile Communications India Private Limited (Applicant/Transferor Company) is proposed to be merged with Intel Technology India Private Limited (Transferee Company) in terms of Scheme of Amalgamation shown as **Annexure-B**.

Application is filed on behalf of the applicant company alleging that the Applicant Company/Transferor Company was incorporated on 17th May, 2007 under the name and style of Mahanadi Wireless Private Limited vide **CIN No. U72200KA2007FTC042838**. Subsequently, the name of the Applicant Company/Transferor Company was changed to Intel Mobile Communications Private Limited on 7th January, 2011. The registered office of the Transferor Company is located at 23-56P, Devarabeesanahalli, Varthur Hobli, Outer Ring Road, Bengaluru-560103.

The main objects of the Applicant Company/Transferor Company is to provide consultancy services addressed to business process engineering, information technology and the design and implementation of information technology solutions for Industry and to establish computer network, either as part of international network or as standalone network or otherwise, development of websites, Portal Sites and provide high speed digital/analog communication links to other networks. The copy of Memorandum and Articles of Association of the Transferor Company has been filed by way of **memo dated March 15, 2018**.

The latest authorised share capital of the Applicant Company/Transferor Company is Rs. 1,800,000,000/- divided into 180,000,000 Equity Shares of Rs. 10/- each. The issued, subscribed and paid-up capital of the Transferor Company is Rs.1,778,325,000/- divided into 177,832,500 Equity Shares of Rs.10/- each. The Audited balance sheet of the Applicant/Transferor Company as on 31st March, 2017 has been filed by way of **memo dated March 15, 2018**.

It is further stated that, the Board of Directors of the Transferor Company have approved and adopted a Scheme of Amalgamation at their meeting held on 15th February, 2018 by virtue of which under Intel Mobile Communications India Private Limited (Applicant/Transferor Company) is proposed to be merged with Intel Technology India

Private Limited (Transferee Company) subject to confirmation. Copy of the Board Resolution of Transferee Company dated on 15th February, 2018 approving and adopting the Scheme of Amalgamation is shown as **Annexure-A**.

It is further averred in the scheme that the Board of Directors of the Transferor Company and Transferee Company are of the opinion that the amalgamation would result in following benefits:

1. The proposed scheme would ensure greater integration, consolidation of business operations/infrastructure and greater financial strength and flexibility for the Transferee Company.
2. The proposed scheme would ensure greater efficiency in cash management of the Transferee Company, and unfettered access to cash flow generated by the combined business which can be deployed more efficiently to fund organic and inorganic growth opportunities, improved organizational capability and leadership arising from the pooling of human capital and sharing of resources that has diverse skill, talent and vast experience.
3. Pursuant to the scheme, cost savings are expected to flow from more focussed operational efforts, rationalization, standardization and simplification of business processes, greater synergy between the products and services of the two companies and the elimination of duplication, and rationalization of administrative and operating expenses.
4. The proposed scheme would enable achieving economies of scale.

It is further stated that MSSV & Co., Chartered Accountants after verification of the books of accounts, other records and documents of the Applicant Company/ Transferor Company has certified that there are 2 Equity Shareholders in the Applicant Company/ Transferor Company as on 07th February, 2018. The Certificate of Chartered Accountant certifying the number of shareholders is shown as **Annexure-E**.

It is further stated in relation to the Applicant/Transferor Company, the value of unsecured creditors is Rs. 599,754,403/- and that as on 7th February, 2018 there are 34 unsecured creditors in the Applicant Company/Transferor Company as certified by MSSV & Co., Chartered Accountants shown as **Annexure-I**.

It is further stated that there are no Secured Creditors in the Applicant Company/ Transferor Company as on 7th February, 2018 as certified by MSSV & Co., Chartered Accountants shown as **Annexure-I**.

We have seen the consent affidavits filed by Two Equity shareholders of Applicant Company/Transferor Company i.e., (i) Intel Deutschland GmbH, Germany, holding 177,832,490 equity shares, constituting 99.99% of the paid-up capital, and (ii) Intel Capital

(Mauritius), Ltd., Mauritius holding 10 equity shares, constituting 0.01% of the paid-up capital. The consent affidavit on behalf of Intel Deutschland GmbH has been provided by Mr. Sowmya Keshava Murthy, he has been authorised by virtue of a specific power of attorney executed by the Managing Director and the Authorised Officer as Representatives of Intel Deutschland GmbH to provide the consent affidavit. The consent affidavit on behalf of Intel Capital (Mauritius), Ltd. has been provided by Ms. Tiffany Doon Silva, Director of Intel Capital (Mauritius), Ltd., she has been authorised by virtue of a Board Resolution of Intel Capital (Mauritius), Ltd. dated February 16, 2018 to provide the consent affidavit. The consent affidavits of the equity shareholders are shown as **Annexure-F**.

We have seen the consent affidavits filed by Three Unsecured Creditors of Applicant Company/Transferor Company i.e., (i) Intel Corporation, United States of America for an amount of Rs. 48,262,156/-, (ii) Intel Mobile Communications North America Inc., United States of America for an amount of Rs. 197,719,003/-, (iii) Intel Deutschland GmbH, Germany for an amount of Rs. 295,822,304/- collectively representing **90.34%** of the total unsecured loan. The consent affidavit on behalf of Intel Corporation has been provided by Ms. Tiffany Doon Silva, she has been authorised by virtue of a power of attorney executed by the Vice President of Intel Corporation to provide the consent affidavit. The consent affidavit on behalf of Intel Mobile Communications North America Inc. has been provided by Mr. Ronald Dean Dickel, he has been authorised by virtue of a power of attorney executed by the Director of Intel Mobile Communications North America Inc. to provide the consent affidavit. The consent affidavit on behalf of Intel Deutschland GmbH has been provided by Mr. Sowmya Keshava Murthy, he has been authorised by virtue of a specific power of attorney executed by the Managing Director and the Authorised Officer as Representatives of Intel Deutschland GmbH to provide the consent affidavit. The consent affidavits of the unsecured creditors are shown as **Annexure-G**.

The Applicant Company is seeking an order to dispense with convening of meetings of Equity Shareholders, and Unsecured Creditors on the ground that, there are 2 Equity shareholders and 34 Unsecured Creditors in the Applicant Company/Transferor Company and that all the Equity shareholders and **90.34%** of the Unsecured Creditors of Applicant Company/Transferor Company have given their consent by way of affidavits for the proposed scheme of amalgamation.

The Applicant Company is seeking an order to dispense with the convening of meetings of Equity Shareholders, Unsecured Creditors of the Applicant Company for approving the scheme of amalgamation of Intel Mobile Communications India Private Limited (Applicant/Transferor Company) with Intel Technology India Private Limited (Transferee Company) shown as **Annexure-B**.

In the result, the application is allowed and holding of meeting of the Equity Shareholders and Unsecured Creditors of Applicant Company/Transferor Company is dispensed with. In any eventuality when the Applicant Company approaches this Tribunal for seeking approval of the scheme it would be open for any person who is interested in the Scheme of Amalgamation to put forth their contentions before the Tribunal.

13/4/18

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

13/4/18

(RATAKONDA MURALI)
MEMBER, JUDICIAL